Code No: 126EJ **R13**

JAWAHARLAL NEHRU TECHNOLOGICAL UNIVERSITY HYDERABAD
B. Tech III Year II Semester Examinations, August/September - 2024
MANAGERIAL ECONOMICS AND FINANCIAL ANALYSIS
(Common to ECE, CSE)

Time: 3 hours **Max. Marks: 75**

Note: i) Question paper consists of Part A, Part B.
ii) Part A is compulsory, which carries 25 marks. In Part A, Answer all questions.
iii) In Part B, Answer any one question from each unit. Each question carries 10 marks and may have a, b as sub questions.

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PART - A

(25 Marks)

1.a)	How do changes in price and income affect demand?	[2]
b)	What are the determinants of demand?	[3]
c)	Explain the laws of returns to scale.	[2]
d)	Describe the relationship between inputs and outputs in a production function.	[3]
e)	Define different types of competition and markets.	[2]
f)	Define pricing objectives and policies.	[3]
g)	Define capital and its significance in business operations.	[2]
h)	Define trading forecast, capital budget, and cash budget.	[3]
i)	Define accounting concepts.	[2]
j)	Define and describe the purpose of journals, ledgers, and trial balances.	[3]

PART - B

(50 Marks)

2.a) Define managerial economic and explain the factors that influence the demand of a product.
b) How do you measure 'Elasticity of Demand'? [5+5]

OR

3.a) Illustrate the Law of Variable proportion. What are its assumptions?
b) Explain the Laws of return with suitable examples. [5+5]

4.a) Analyze the cost structure of a firm to identify areas for cost reduction and optimization.
b) Critically evaluate the assumptions underlying the Cobb-Douglas production function. [5+5]

OR

5. From the following data, you are required to calculate break-even point and net sales value at this point:

	₹
Direct material cost per unit	10
Direct labour cost per unit	5
Fixed overhead	50,000
Variable overheads @ 60% on direct labour	
Selling price per unit	25
Trade discount	4%

If sales are 10% and 25% above the break even volume, determine the net profits. [10]

6. Discuss the factors influencing price-output determination in perfect competition and monopoly. [10]

OR

7. Analyze whether a market structure fits the criteria of perfect competition, monopoly, or monopolistic competition. [10]

8.a) Evaluate the impact of external factors, such as market conditions or regulatory changes, on capital budgeting decisions.

b) Analyze the strengths and weaknesses of different methods of capital budgeting. [5+5]

OR

9.a) The cost of a project is $50,000 and it generates cash inflows of $20,000, $15,000, $25,000, and $10,000 over four years. Using the present value index method, appraise the profitability of the proposed investment, assuming a 10% rate of discount.

b) Brief on methods of capital budgeting. [6+4]

10.a) Discuss the process of double-entry book keeping and its role in maintaining accurate financial records.

b) Discuss the components and significance of the Du Pont Chart in analyzing return on equity. [5+5]

OR

11. The Balance sheet of Punjab Auto Limited as on 31-12-2022 was as follows; from the below, compute a) the current ratio b) quick ratio c) debt-equity ratio and d) proprietary ratio. [10]

Particular	Rs.	Particular	Rs.
Equity Share Capital	40,000	Plant and Machinery	24,000
Capital Reserve	8,000	Land and Buildings	40,000
8% Loan on Mortgage	32,000	Furniture & Fixtures	16,000
Creditors	16,000	Stock	12,000
Bank overdraft	4,000	Debtors	12,000
Taxation:		Investments (Short-term)	4,000
Current	4,000	Cash in hand	12,000
Future	4,000		
Profit and Loss A/c	12,000		
	1,20,000		1,20,000

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